

QUALITY STATEMENTS

Three elements of quality statements are:

- a. Vision statement,
- b. Mission statement, and
- c. Quality policy statement

What is Vision Statement?

The vision statement is a short declaration of what an organization aspires to be tomorrow.

- ❖ It is the ideal state that might never be reached; but on which one will work hard continuously to achieve. Successful visions provide a brief guideline for decision making.
- ❖ The vision statement should be coined in such a way that the leaders and the employees working in the organization should work towards the achievements of the vision statement.

An example of a simple vision statement is :

“To continuously enrich knowledge base of practitioners in mobility industry and institutions in the service of humanity”. – Society of Automotive Engineers (SAE)

STATEMENT

Example :

Disney Theme Park - Happiest place on earth

Polaroid - Instant photography

➤ Successful visions provide a guideline for decision making

What is Mission Statement?

1. The mission statement, describes the function of the organization. It provides a clear statement of purpose for employees, customers, and suppliers.

The mission statement

Answers the following questions :

Who we are?; who are our customers? ; What we do?; and how we do it?

It describes the function of the organization. It provides a clear statement of purpose for employees, customers & suppliers

An example of a simple mission statement is :

“Concern for the ultimate customers – millions of customers
Concern for the intermediate customers – the trade

Concern for the suppliers – the sources of raw materials and ancillaries

Concern for the employees – the most valued asset

Concern for the competitors – wishing them well as healthy competition ultimately benefits the customers.

A simpler mission statement is

“To meet customer’s transportation and distribution needs by being the best at moving their goods on time, safely and damage free”

What is Quality Policy Statement?

The quality policy is a guide for everyone in the organization as to how they provide products and service to the customers.

It should be written by the CEO with feedback from the workforce and be approved by the quality council.

A quality policy is an important requirement of ISO 9000 quality systems.

An example of a simple quality policy statement is:

“Xerox is a quality company. Quality is the basic business principle for Xerox. Quality means providing our external and internal customers with innovative products and services that fully satisfy their requirements. Quality is the job of every employee”.

QUALITY POLICY STATEMENT

It is guide for everyone in the organization as to how they should provide products and services to the customers.

Common characteristics are

- Quality is first among equals
- Meet the needs of the internal & external customers
- Equal or exceed competition
- Continuously improve the quality
- Utilize the entire workforce

Why Implement Total Quality Management (TQM)

The plain and simple truth is that properly planned and implemented TQM methodology will provide significant financial benefits to your business. TQM methodology not only benefits your customers, but your organization will become more efficient, effective and through continually meeting the customers need, your brand equity will increase. The stronger your brand equity the more likely you will experience long-term success. TQM methodology allows your organization to:

- Understand your customer's wants and needs or the **Voice of the Customer (VOC)**
- Improve your customer focus and increase customer loyalty
- Be more adaptable to changing market conditions and government regulations
- Allocate proper resources and ensure capability to deliver high quality products or services
- Focus on processes, measure performance and use data to drive continuous improvement
- Reduce costs by reducing and eliminating waste in its many forms

Through implementation of TQM methodology, your company will realize many benefits beyond the list above. The involvement of all divisions, departments, functions, processes and individuals in the TQM activities will help in building a

continuous improvement culture within your organization, which could have a tremendous positive impact on the bottom line.

How to Implement Total Quality Management (TQM)

Implementing Total Quality Management within an organization is no simple task. It takes time, resources and commitment. Before initiating any implementation of TQM, one should assess the current conditions and culture within the organization. This may be done internally, or in many cases is performed by a non-biased, external resource. The leadership of the organization and the corporate culture must be adaptable to TQM philosophy and prepared to support it during the implementation phase and beyond. This will be a long-term process. Leaders will need to uphold their commitment to the process, maintain open lines of communication, provide support and ensure accountability.

Need for Change

One of the first things the leadership of any organization must do prior to launching any TQM initiative is to recognize the need for change within their organization. Does your organization have a firm grasp on the wants and needs of your customers? Do your employees feel empowered and responsible for making improvements in the processes they perform? Does your organization have clearly defined processes or a plan for improvement? If you answered no to any of these questions you may need a change. But, are you prepared to and have the ability and desire to change? The success of any TQM implementation is dependent upon if the management and staff within the organization want the change to happen.

The Vision

TQM should be purpose driven and there should be a clear vision for the organization's future. Proper communication is a key element of a successful TQM implementation. The entire organization should have a clear vision of the mission and goals of implementing TQM. It is the responsibility of the leadership team to communicate the plan, purpose, goals and benefits of implementing TQM

methodology. Organizational management should draft a plan for implementation including the assignment of responsibilities, formation of improvement teams and allocation of adequate resources. This often includes acquiring external consulting and training resources.

Voice of the Customer

Working towards meeting the customer's wants and needs is one of the primary reasons for implementing TQM methodology. Therefore, establishing an effective **Voice of the Customer (VOC)** process is vital to success of the organization. VOC defines the needs, wants and expectations of the customer. This includes both external and internal customers. The Voice of the Customer process is a documented procedure for collecting, documenting and analyzing the feedback from the customer to improve a product or process. The VOC process should be proactive and continually refined to capture changing customer requirements. In addition, the process should include methods for effectively sharing and utilizing this valuable information within the TQM system to effect meaningful change. Any deficiencies discovered during collection and analyzing the VOC should serve as a starting point for your improvement process.

Define Success

Develop goals that are measurable in order to define success or failure. The Voice of the Customer is often a contributing factor in defining your goals. Goals should be clearly defined and measurable. A vaguely expressed goal such as "The product must perform better than the competition" is not clear or measurable. Do your homework, benchmark your competitors and document the performance of their product or service. Then set your goals in measurable terms. In some cases you may want to implement **Statistical Process Control (SPC)** to record the appropriate data and monitor the process. Establish your Critical to Quality (CTQ) criteria. These are the parameters by which achievement of goals are measured. They are quantifiers of success.

Train and Empower

A successful TQM implementation is largely dependent on the skills and acceptance of the employees. The first step is to educate your workforce. Provide your teams with the proper training, tools and system structure to allow them to succeed. Employee training should be a priority during the implementation of TQM and going forward. While some training may require assistance from external consultants, much of the process training can be accomplished by management staff. Another key aspect of TQM success is the involvement and empowerment of employees in the TQM implementation process. Bring them into the decision process where applicable. Reaping the benefits of your employee's otherwise untapped ideas, innovative thoughts and creativity can make a profound impact on successful implementation and acceptance of TQM within your organization. A few ideas to keep in mind while implementing TQM:

- Changes are more widely accepted and supported when employees have been directly involved
- Associates that work directly with the process are more likely to identify opportunities for improvement
- Involvement increases morale by creating sense of belonging within the organization

Through training and completion of the initial process reviews, the team members likely will begin to take mental ownership of their individual processes. When this transfer of ownership takes place, the workers begin to view process improvements as their responsibility. Employee involvement is crucial to TQM, and it can mean the difference between success and failure.

Identify Improvement Opportunities

When implementing TQM you should review the processes to identify opportunities for improvement. The following is some basic information for reviewing a process for possible improvement.

Map the Process

Obtain a Process Map and any Work Instructions, **Control Plans** or other process documentation that may exist. If you do not have a process map then build one. Gain a thorough understanding of the current state of the process. Find out what is really happening. If you do not understand your process, you cannot improve it.

Review the Process

Review the process and evaluate each task or step. Using the **5 Why** and 2 How model, ask Why, What, Where, When, Who, How and How often questions.

Reduce Waste

Determine methods to reduce or eliminate waste in all of its forms. Look for ways to eliminate any unneeded steps or tasks from the process. Combine process steps where possible. Rearrange the process sequence to ease assembly or simplify the process where possible.

Implement Prevention Controls

One of the basic beliefs of TQM is that mistakes will occur if not prevented and the majority of them are due to inadequate controls or systems. The **Root Cause** of mistakes can be identified and the mistake prevented. **Mistake Proofing** or Poke Yoke methodology can be implemented into any step within a process where errors occur. Eliminate the need for inspection to achieve quality by preventing errors and building quality into the product in the first place.

Continue reviewing the processes until you have covered every one. Train yourself and your teams to look past the current state of the process, and envision the future improved process. Once all the processes have been reviewed and improvements identified, encourage your employees and teams to become aware of problems and look for ways to improve every day. By doing this you will be planting the seeds of a continuous improvement culture within the organization.

Measure and Report

Once process improvements have been implemented, the key process and product characteristics should be measured and monitored. Manufacturing processes often incorporate SPC methodology. Other methods could include random inspections or routine audits of the process or products. The specific methods will vary depending on the organization's size, structure, the process and potential risk. Measuring the effectiveness of the TQM implementation will require time, but will also help identify which areas or processes require additional improvement, adjustment or redesign. It is vital for leadership to recognize if an exercise was successful or not. TQM is largely dedicated to achieving continuous improvement in all processes throughout the organization, from high level strategic planning and decision-making, to detailed execution of production processes on the shop floor and meeting the customer's needs on a consistent basis. Communicating and celebrating positive results of the TQM implementation will build employee morale and support for future improvement or **Kaizen** projects.

Implementing TQM has many benefits for an organization, but it is going to require commitment and continual support from management as well as an investment of time and resources. In most cases it is not an easy task. Implementing TQM will not happen overnight, as it is a comprehensive and long-term process. Organizational leadership must maintain their commitment, provide guidance and support and promote accountability to achieve the desired results. Keep mindful that TQM should be purpose and results driven. Have a clear vision for the future of the organization, share that vision and stay focused on the goal. Implementing and effectively utilizing TQM can be a powerful tool for unleashing employee potential, reducing costs and improving the quality of the organizations products and or services.

What should be included in a quality policy statement?

The quality statement examples we will dive into below will be applicable to you in that the content, length and format of the quality statement will be helpful to

you, but one of the major factors in what your quality statement includes is the type of product or service you provide.

As was previously mentioned, all companies must focus on delivery quality, but what that quality is and looks like can vary quite dramatically from industry to industry.

Some of the most common quality policy statement examples you will see stem from these quality statement 'buckets':

- **Customer needs:** The end goal of all companies is to meet the needs of potential, current and future customers. A quality policy statement focused on customer needs is most often 'marketing' focused, and draws attention to the fact that the company is laser focused on the customer, and on delivering exactly what the customer wants.
- **Customer preference:** Flexibility and customisation have become more desirable to customers who seek products which align exactly with their personal preferences and desires. Many companies issue quality statements based around being able to cater to and offer exactly what a customer 'prefers'.
- **Service and experience:** For most service-based business (which there are a lot of), the most important quality aspect is that the service and experience meets expectations. The level of service and experience 'quality' expected obviously depends on the price of the service amongst other things, but the minimum level of quality for most customers is that they are listened to and treated respectfully in a clean environment.
- **Compliance:** For some companies operating in highly regulated spaces like food and drugs, the proxy for quality in their industries and amongst the public is that they achieve compliance.
- **Health and safety:** Health and safety matters in all industries, but some companies operate in industries where a significant part of their operational

focus in terms of 'quality' is around health and safety and delivering a safe product - which is often the minimum requirements for any 'product'.

- **Defects:** Defect management is one of the core 'jobs' of quality management. No person or business buying from someone else is looking for a defective product, so most companies include a commitment to work towards zero defects, especially manufacturing and infrastructure style companies.
- **Accuracy:** One of the most important parts of 'quality' for any company is that people and companies buying the product need to be able to trust its quality. Many companies include partial statements about product and service accuracy so that people 'know' they can trust what is being said.
- **Testing:** testing is a huge part of quality. No company or process can be completely bulletproof, but the right testing framework and policies can prevent defective products and issue getting to the customer. Companies often have detailed plans and documents around their testing procedures, but a quality policy statement can also include sections about this given it's importance to overall quality.
- **Waste:** One of the by-products of producing a good or service is waste. Waste management is an integral part of environmental and quality management, and continues to grow in importance too.
- **Improvement:** Many products and services aren't perfect, but a commitment to continuous improvement is always a welcome addition to any quality policy statement.
- **Industry specific quality:** Different industries need to deliver on different promises, and so their quality statements often include industry specific information and value propositions which are designed to cater to their specific audience.

- **People:** All business involve a number of direct and indirect stakeholders. A commitment to thinking about and considering other people and communities often goes a long way.
- **Privacy:** Privacy has always been important, but it has become a much deeper focus of quality for many modern technology and data driven companies. One of the most powerful quality assurances companies like Google and Facebook can include in their quality statements is around protecting and enforcing privacy at all costs, as data is their 'product'.
- **Environmental:** Companies often have different documentation for environmental statements and procedures, but a commitment to quality in terms of environmental practices can also be really powerful in specific industries.
- **Sourcing:** For many big companies, one of their most powerful tools is their dollar, and the vendors and suppliers they choose to buy from. Not many products or services are made and produced by one company, so promising to select and use quality vendors is a direct commitment to output quality too.

Customer focus examples

Give room for feedback: Have clear paths that customers can use to leave their honest feedback and what they feel about how you treat them. Give room for customer.

Outline the company's **customer experience** strategy. A company's **customer experience** strategy is the blueprint for meeting or exceeding clients needs .

You can create cultural initiatives that promote **customer-centric values** to help the **company** improve its customer focus.

Empower Your Employees. Train **your employees** to understand and prioritize customer needs.

Being able to actively **listen to customers'** feedback, concerns, and preferences allows for better understanding and alignment with their needs.

To **seek feedback** and adopt customer suggestions. There are various processes organizations can use to get **feedback** from customers.

Adjust to customers. Companies may improve client focus by making their brand easily accessible and creating a convenient customer experience

Build trust through transparency: Be open about your business practices, admit mistakes, and communicate how you're reliable . This ensures a long term relationship and is gained **through transparency**, reliability and keeping your promises.

The **customer** focus strategy means prioritizing clients' **needs**. In companies following this approach, teams are dedicated to improving client satisfaction

Encourage collaboration. Becoming a customer-focused organisation requires teams to work together to create a consistent, overall better experience

Use tools to enhance customer retention. There are various technological **tools** that you can **use** to help a company improve its **customer retention**.

Always look for product improvements. Customer focused company doesn't modify the **product**. It changes customer experience. Focusing on customers does not **always** simply make drastic changes.

A third way to demonstrate customer focus is to provide quality and timely **service**. This means delivering your work with high standards of **excellence**,

. **Know your customer** ; 2. Align your goals with theirs ; 3. Provide quality and timely service ; 4. Seek feedback and improvement ; 5. Build rapport and trust

Solve customer issues proactively. Some **customer** service concerns require follow-up contact to resolve.

By approaching **customer** voice focus through long-term strategies, companies can also convert more leads into sales over time, boosting their overall **customer** base.

In the realm of business, 'Customer Focus' is a term that refers to a company's [commitment to prioritize the needs and wants of its customers](#) in all aspects of its operations. This includes product management, which involves the planning, development, and marketing of products, as well as operations, which encompasses the day-to-day activities that a business undertakes to produce goods or services.

Understanding the concept of customer focus in relation to product management and operations is crucial for any business that aims to succeed in today's competitive market. This glossary entry will delve into this topic in great detail, providing a comprehensive explanation of its various aspects and offering practical examples and how-tos to facilitate a better understanding.

Definition of Customer Focus

Customer focus is a business strategy that places the [customer at the center of all business decisions](#). It involves [understanding the customer's needs and wants](#), and then designing products, services, and operations to meet those needs. The goal is to [create a positive customer experience](#) that leads to customer loyalty and repeat business.

Businesses that adopt a customer-focused approach often see improvements in customer satisfaction, customer retention, and overall business performance. They are

also more likely to innovate and adapt to changing market conditions, as they are constantly seeking to meet the evolving needs of their customers.

Importance of Customer Focus Or

Why must businesses build customer-focus

If you prioritize understanding and satisfying customer needs, you stand poised for sustainable growth and success. Here are other compelling reasons why cultivating customer focus is essential:

Drive customer satisfaction: One key reason customer focus is crucial is that it helps you drive customer satisfaction by truly understanding your [target audience](#). You can gain insights into customer behaviors, preferences and pain points by investing time and resources into market research, collecting customer feedback and analyzing data. This knowledge allows you to tailor your products, services and marketing strategies to meet and exceed your customers' needs.

Retention and loyalty: Building solid and lasting customer relationships is critical to a successful business strategy. In today's market, customers have more choices than ever and they expect personalized experiences, exceptional [customer service](#) and brands that genuinely care about their needs. By prioritizing these elements, you can increase [customer retention](#) and build strong customer loyalty, ultimately setting your business up for long-term success.

Competitive advantage: In a crowded marketplace where products and services can appear similar, customer service and support level become key differentiators. By prioritizing customer focus and meeting and exceeding customer expectations, you can stand out as a leader in your industry, gaining a competitive edge and attracting more customers.

Reputation and brand Equity: Businesses renowned for their customer focus enjoy a strong reputation and enhanced brand equity. Positive customer experiences create a ripple effect, bolstering brand perception and attracting new customers through positive word-of-mouth referrals. Conversely, neglecting customer needs can erode brand trust, jeopardizing your [brand reputation management](#) efforts.

Guidelines to build a customer-focused business

To build a customer-focused business, you must ensure every department in your company works towards it, with each step centered around customers' best interests. The tips and examples below will help you understand how to achieve client-centricity.

1. Understand customer requirements

Develop a comprehensive understanding of your customers by actively engaging in market research. Identify their preferences, pain points and expectations through [customer surveys](#), focus groups and [analyzing sentiments](#) across [customer service channels](#), including social media. Analyze purchasing patterns and trends to anticipate evolving needs, ensuring your products or services align with customer expectations.

By actively engaging in market research and analyzing customer feedback, you can stay attuned to evolving trends and consistently deliver value, creating positive experiences that resonate with your audience.

2. Develop a customer-centric culture

Instill a customer-centric mindset at every level of your organization, from frontline employees to senior leadership. Emphasize the importance of understanding customer needs, empathizing with their challenges and prioritizing their satisfaction in all business decisions.

Similarly, effective collaboration between departments is critical for delivering cohesive and integrated solutions to clients. Break down silos and encourage cross-functional teamwork to ensure a seamless and unified approach to serving client needs and delivering value. This approach reinforces a commitment to providing value throughout the [customer journey](#).

3. Hire customer-centric employees

Employ the best candidates that have a customer-focused attitude. Customers should feel valued and unique when dealing with them.

Additionally, train the new support agents to put client demands ahead of other considerations.

Essential qualities employees should have:

- Excellent communication abilities
- Composure and patience
- Empathetic nature
- A good sense of humor
- In-depth knowledge of the company and its offerings
- Proficiency in dealing with customers

4. Motivate your employees

Constantly monitor the results of your customer-centric tactics. Team members are inspired to provide additional service when the team manager gauges the success of all their efforts.

Your workers' growth should be correlated with your increase in client retention. Team members should receive appropriate rewards and feedback, encouraging them to give their best effort.

5. Gather customer feedback regularly

Customer feedback is not a one-time transactional activity. Establish a systematic approach to collecting customer feedback on an ongoing basis. Utilize surveys, feedback forms and online reviews to gather running insights into customer experiences with your services and products. Act promptly on this feedback to address concerns, make improvements and demonstrate to customers that their opinions are valued and drive positive change.

6. Personalize customer interactions

This may be an obvious step, but it's critical to leverage data to personalize customer interactions. Ensure your communication messages, promotions and recommendations are tailored to individual preferences, purchase history and behavioral data. This personalization enhances the overall user experience and strengthens the emotional connection between the customer and your brand.

7. Empower front-end teams

Invest in comprehensive training programs for front-end teams, including sales and [contact center agents](#). Consider providing them with the necessary tools, knowledge and autonomy to handle customer interactions effectively. Equally important is demonstrating how customer focus drives positive outcomes for them and the business.

8. Prioritize customer education

Break away from the mold that forces customer-brand interactions to be purely transaction. Customer focus means that brands must strive to add value to their customers even when they are not buying. You can do this by providing educational resources to empower customers. Develop comprehensive guides, tutorials and [knowledge base](#) to help customers better understand your products or services.

By actively educating your customers, you equip them to make informed decisions and maximize the value they receive.

9. Measure and monitor key customer service metrics

Establish clear [customer service metrics](#) for measuring customer satisfaction, retention and loyalty. Regularly track and analyze these metrics to gauge performance, identify areas for improvement and make data-driven decisions to enhance the overall client experience.

Good to know: With modern [AI-powered reporting and analytics software](#), you gain actionable insights into your business operations at multiple levels. You can track key customer service metrics effortlessly, respond to critical events and deliver exceptional customer service in real-time.

10. Give opportunities to employees to learn new things

Try to invest in your employees' education. Regularly organize training sessions to improve team members' product and service expertise.

Better technical abilities can enable them to do their everyday tasks more effectively, [increasing customer satisfaction](#) and business expansion. To help employees develop their customer-focused abilities, you might give them a variety of practical courses from reputable universities.

Effective customer-focused communication will always put you ahead of the pack.

11. Stay current with industry trends

Engage in online discussions and forums related to your industry.

This can help you stay updated about the latest trends, best practices, and innovative solutions and provide a platform to share your knowledge and experiences with others.

12. Celebrate and showcase client success stories

Highlighting client success stories and testimonials showcases the value of your offerings and reinforces your commitment to client satisfaction. Celebrate client achievements and milestones, showcasing the tangible impact of your partnership on their business success.

13. Create employee incentives for increased customer focus

One of the ways to build a customer-centric culture is by linking employee incentives to customer satisfaction scores.

Acknowledge and reward exceptional customer service through bonuses, recognition programs or generous performance evaluations. You can also encourage a proactive approach to meeting customer needs by linking these rewards to customer-centric behaviors like better listening skills and in-depth research about a customer.

Incentivized employees are more likely to go the extra mile, ensuring customers feel valued and supported. Ultimately, a customer-focused workforce drives repeat purchases and promotes sustained growth for your business.

What is customer orientation?

Customer orientation is aligning your business to meet customer needs and requirements. It started as a reaction to modern consumer psychology, where experiences outweigh products.

Customer orientation is a business philosophy that puts the customer at the center of every decision and action. It involves using customer needs, feedback, and behavior to shape products, services, marketing strategies, and sales processes. Prioritizing the customer experience empowers companies to drive higher satisfaction, build lasting loyalty, foster trust, and fuel long-term revenue growth.

Breakdown of what customer orientation means:

- **Understanding your customers:** This involves [managing customer feedback](#), analyzing customer behavior and identifying their pain points.
- **Meeting their needs:** By understanding your customers, you can tailor your products, services and communication to directly address their needs.
- **Building relationships:** It's not just about the sale. Customer orientation fosters long-term relationships with your customers through trust and positive experiences.
- **Exceeding expectations:** Going the extra mile to surprise and delight your customers can create loyal [brand advocates](#).

Importance of Customer Orientation

The importance of customer orientation in today's business landscape cannot be overstated. It is a fundamental concept that underscores the success and sustainability of any organization. Here are several key reasons why customer orientation is of paramount importance:

- **Enhanced Customer Satisfaction:**

A customer-oriented approach prioritizes understanding and meeting customers' needs and expectations. Customers' satisfaction increases when they feel heard and valued, leading to repeat business and positive word-of-mouth recommendations.

- **Improved Customer Loyalty:**

Customer orientation fosters solid and long-lasting relationships with customers. Loyal customers are likely to continue doing business with you and are less inclined to switch to competitors, reducing customer churn and increasing customer lifetime value.

- **Competitive Advantage:**

Businesses that excel in customer orientation in a crowded marketplace stand out. They can differentiate themselves by providing an excellent customer service team and tailoring their high quality products or services to meet one customer demands, giving them a significant competitive advantage.

- **Innovation and Adaptation:**

Customer oriented feedback and insights gathered through a customer oriented strategy approach are invaluable for innovation and adaptation. By understanding the needs of customers, businesses can refine their offerings and stay ahead of changing market trends.

- **Brand Reputation:**

A customer-centric approach contributes to a positive brand reputation. Businesses committed to customers are often seen as trustworthy, ethical, and reliable, which can attract more customers and partners.

- **Increased Profits:**

Satisfied and loyal customers tend to spend more, making them a more profitable business segment. Additionally, retaining existing customers is often more cost-effective than acquiring new ones.

- **Risk Mitigation:**

By staying attuned to customer feedback, businesses can identify and address issues proactively, reducing the likelihood of costly customer complaints or public relations crises.

- **Adaptation to Changing Markets:**

Markets and customer preferences are constantly evolving. A customer-oriented business is better equipped to adapt to these changes, ensuring their long-term relevance.

Customer orientation is not merely a business strategy but a fundamental ethos that should permeate every aspect of an organization. A commitment to understanding, serving, and delighting customers drive growth, profitability, and sustainability. In an era of continually rising customer expectations, those prioritizing customer orientation are best positioned to thrive.

Implementing Customer Orientation in Your Business

Customer orientation in business requires careful planning involving top management and frontline employees. Here are five ways to begin putting your customers first:

1. Develop a detailed customer persona

Your business can serve customers much better if it focuses on a particular type of customer rather than a large market. Creating detailed customer personas allows you to understand better your customers' wants, interests, and pain points.

You can create more meaningful solutions by gathering demographic information, behavioral practices and attitudes, motivations, customer needs, and goals from your target users.

2. Recruit empathetic people

Hiring the right people for your company is easier than training them from scratch. While they can be groomed to fit better into your company, certain characteristics are inherent.

For example, if you hire an empath to work as a frontline employee in your company for sales teams or customer service agents, they will help customers intuitively. To be customer-focused from the start, pay close attention to the support team you're building with each employee you hire, making sure they're an excellent cultural fit from the start.

3. Give employees the proper tools and training

Your employees' tools and training must also foster positive customer relationships and customer experiences. Customers, for example, may find single-channel customer service oriented frustrating.

A customer who prefers live chat services is likely to be dissatisfied with phone service, regardless of how polite or well-intentioned your agent is on the phone. A customer oriented company that cares about its customers will equip its employees with everything they need to provide an exceptional experience for exceptional customer service.

4. Engage your customers proactively

If there is one thing that businesses must be prepared for, it is their changing preferences. They are constantly evolving. Keeping up with these changes is what customer orientation is all about.

A customer focused company that is committed to providing the highest level of customer satisfaction will actively engage its customers to understand this shifting curve. Whether through feedback surveys or tracking website hits, analyzing chats, and engaging with customers to stay on top of their changing needs.

5. Pay attention to company employees

When you are customer-focused, it is easy to overlook the people who are in charge of providing the customer experience: your employees. Customer satisfaction depends on employee happiness. Treat your employees well and set a good example for how you want your customers to be treated.

Customer Oriented Skills

In the business world, customer oriented skills are essential for building lasting relationships and thriving in competitive markets:

Customer Oriented Companies

- **Market Research:** Regularly studying customer preferences and trends.
- **Adaptability:** Swiftly responding to changing customer demands.
- **Customization:** Tailoring products to meet specific customer needs.
- **Reputation:** Establishing a reliable brand image through consistent customer satisfaction.

Customer Oriented Teams

- **Empathy:** [Customer empathy](#) means understanding and resonating with customer concerns.
- **Communication:** Promptly addressing customer questions and issues.
- **Problem-Solving:** Analyzing complex problems for innovative solutions.
- **Collaboration:** Providing a holistic customer experience across departments.

Customer Service Orientation

- **Active Listening:** Engaging with customer inquiries and feedback.
- **Patience:** Remaining calm in challenging interactions.
- **Product Knowledge:** Offering accurate guidance.
- **Conflict Resolution:** Effectively resolving disputes.

Building Long-Term Relationships

- **Consistency:** Providing a trustworthy experience.
- **Anticipation:** Addressing needs before they become issues.
- **Value-Add:** Offering extra value through loyalty programs and perks.

By nurturing these skills, you can create a business that attracts and retains customers, fostering long-term success.

What is supplier relationship management?

Supplier relationship management (SRM) is a systematic approach to evaluating and partnering with vendors that supply goods, materials and services to an organization,

determining each supplier's contribution to success, and developing strategies to improve their performance.

Sometimes called supply chain relationship management, SRM helps to determine the value each supplier provides and which ones are most critical to [business continuity](#) and performance. Knowing each supplier's importance can help managers cultivate better relationships with suppliers.

In Total Quality Management (TQM), managing relationships with suppliers is a crucial element for ensuring that an organization's products or services meet high-quality standards. Suppliers contribute significantly to the quality of the final product, so supplier partnership and collaborative relationships are central to the TQM philosophy. The goal is to build long-term, mutually beneficial relationships with suppliers, which will result in improved quality, reduced costs, and greater customer satisfaction

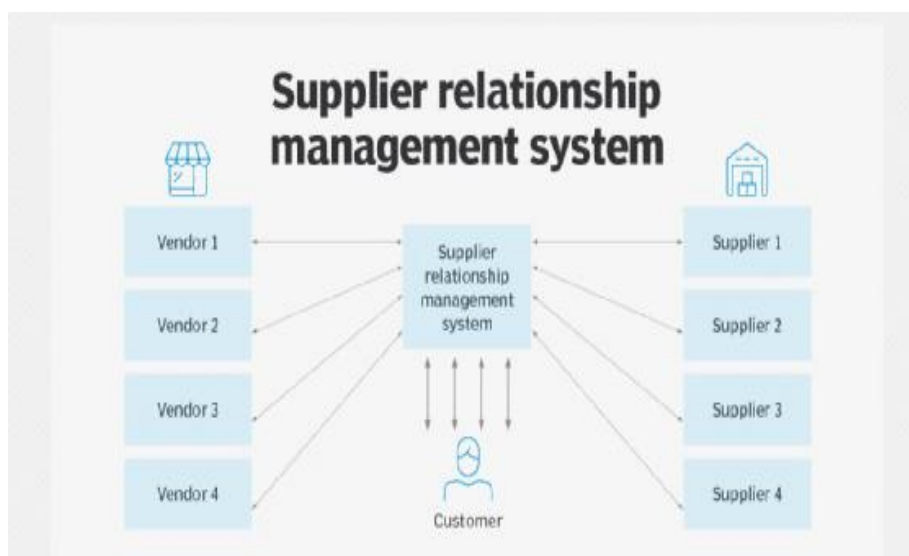


Figure 1. How a supplier relationship management system facilitates relationships with vendors and suppliers.

As shown in Figure 1, [SRM can facilitate relationships](#) with vendors and suppliers. The SRM system sometimes links to vendors to [gather customer](#)

[data](#) for efficient planning and management. Suppliers may also interface directly with customers, using resources like email and voice communications. When both methods are used, efficiencies can be great and mutually beneficial.

Types of suppliers

Some suppliers are especially critical to a company's business continuity, operational excellence, scalability and profitability. For example, a smartphone manufacturer's stationery supplier has little influence on profitability, but its main electronics supplier has a huge impact, making it a key strategic partner. Any risk to the electronics maker's operations is a major concern to the smartphone company.

SRM can be useful for any of these six types of supplier relationships:

- **Arms-length.** Transaction-based, with a specific need being fulfilled, and no expectations for further activity.
- **Partnership.** Focused relationship with a vendor -- to the exclusion of other vendors or a reduced level of activity with them.
- **Just in time.** Seeks delivery of goods in a specific time frame as part of inventory management and with a view toward reducing excess inventory.
- **Strategic alliance.** Deep long-term relationship in which vendor and customer have close operational and planning links.
- **Buyer/supplier networks.** Collaborative relationships among multiple vendors and buyers where information is shared to help all members.
- **Outsourcing/subcontracting.** The process of [contracting out work](#) to external organizations that have the skills to complete the projects and can help find resources and expertise that might not be available internally.

Goals and benefits of SRM

While the types of suppliers that are key to success vary by industry and organization, the overarching goal of SRM remains the same: to streamline and improve the processes that take place between the organization as buyer of products and services and the businesses that supply them. This is similar to the way customer relationship management ([CRM](#)) is intended to streamline and improve the processes between an enterprise and its customers.

As buyer-supplier networks become more global and interdependent and companies rely more heavily on strategic suppliers, [SRM is increasingly important](#). Many organizations worldwide have implemented SRM programs, noting that the discipline helps them to do the following:

- Take better advantage of supplier capabilities.
- Reduce costs.
- Ensure supply chain continuity.
- Limit [supply chain risks](#).
- Increase responsiveness of suppliers.
- Gain visibility into future prices and hedge against price volatility.

SRM aims to [develop a mutually beneficial relationship](#) between the organization and its suppliers, especially those deemed most strategic to the organization's brand. It creates a framework for both identifying strategic supply partners and organizing the relationship lifecycle and is meant to promote quality, efficiency and innovation. A successful SRM discipline seeks not just cost savings, but to maximize the value of suppliers to gain a competitive advantage and improved brand presence.

How supplier relationship management works

[Strategic sourcing](#) processes related to SRM can vary by organization, but SRM involves the three steps shown in Figure 2.



Figure 2. Steps in the CRM process.

- **Segment suppliers.** In this [first, foundational step](#), the organization identifies all its suppliers and categorizes them by their importance to the business, ensuring suppliers key to success get appropriate attention.
- **Develop a supplier management strategy and framework.** Here, the organization develops a strategic plan for how SRM will work with each supplier or category of suppliers. While all suppliers play a role in success, organizations should start with the category of suppliers deemed most critical. Aligning business strategy processes and assigning stakeholders according to business goals requires a strategic approach and supporting framework that addresses governance and [performance management](#).

- **Establish or update vendor relationships.** This step involves communicating SRM plans, strategies and initiatives with key suppliers. It can help advance relationships and provide valuable insights into what will ensure mutual success.
- **Execute the SRM strategy.** The executives who have responsibility for SRM must ensure the strategy is implemented and that they or designated managers take on daily oversight. They should devise ways to monitor progress and [identify potential points of failure](#) in the SRM strategy or its execution.

Supplier relationship management challenges

a solid SRM program that can overcome the many challenges of achieving that objective, such as the following:

- Lack of senior management support and endorsement of SRM.
- Failure to focus on the risks and threats to SRM.
- Overemphasis on using SRM to reduce cost rather than cultivate value and strategic ties.
- Not knowing how to [use artificial intelligence](#) (AI) and related technologies to improve supplier identification and the SRM experience.
- Lack of visibility into suppliers, their importance to the organization and the value they can deliver.
- Insufficient commitment to developing clear program objectives, assigning and training staff to run it, and aligning business units to the objectives.

Integration of SRM with related systems

SRM systems are often linked with other systems that support an organization's business operations. Figure 3 shows how various systems may be linked.

How SRM relates to other systems

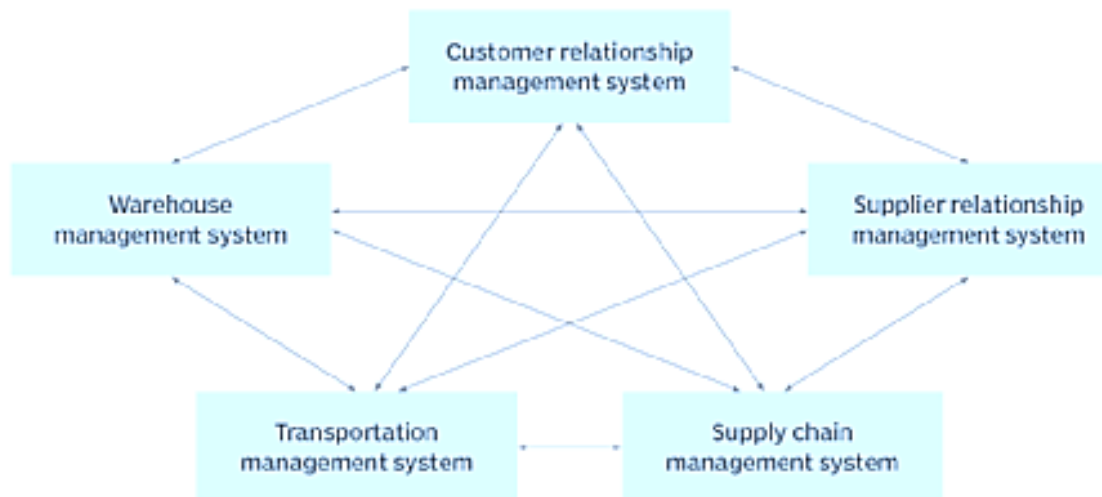


Figure 3. How supplier relationship management and other systems are linked.

Some CRM platforms may embed modules addressing supply chains, transportation and [warehouse management](#), and SRM. Some older legacy systems may be standalone, but the likelihood today is for links among the various applications in a common platform. The various modules can share a common database, and actions taken in one module can initiate actions in one or more other modules. The result for customers is a more efficient experience with minimal bouncing around among different apps.

The Benefits of Supplier Relationship Management

There are many [benefits to supplier relationship management](#), all of which contribute to a healthier business.

- **Reduced costs:** Creating and maintaining an effective strategy for each supplier relationship that is valuable for both parties inevitably leads to cost savings, as well as a reduction in delays, quality issues, availability challenges, etc.
- **Less price volatility:** When you have a good, healthy relationship with a supplier, you can work together to minimize commodity prices, exchanging fixed prices for a longer contract term, for example. Reducing price fluctuations establishes better trust with consumers.

- **Increased efficiency:** As with any kind of relationship, having a good relationship with suppliers leads to better communication, understanding and ability to work together to achieve the best outcome for both.
- **Outsourcing:** When you trust a supplier, you can transfer to them time-consuming activities like managing inventory levels or certain aspects of customer service.
- **Supplier consolidation:** When you and a supplier work well together, you better understand what the other needs to operate efficiently and can work to accommodate. This streamlines supply chain processes and can sometimes lead to reducing the number of suppliers you need to work with – resulting in increased buying power.
- **Ongoing improvements:** Teamwork between both parties of a supplier relationship allows for feedback to continuously optimize factors that make both of you happier and more profitable.

Challenges Associated With Supplier Relationship Management

The need for effective supplier relationship management is arguably greater than ever due to supply strains of geopolitical issues, chip shortages, port congestion and other supply chain disruptions. However, there are some ways those in charge of supplier relationship management falter, causing SRM to become difficult or not as beneficial. Common supplier relationship management issues include:

- Approaching it as more of a means of cost reduction than developing mutually beneficial relationships with suppliers
- Having a supplier relationship strategy that lacks clear success metrics
- Building relationships with a lack of supplier diversity
- Carrying too much inventory to address potential supply disruptions
- Changing sources of supply and burdensome supplier rationalization
- Having inconsistent supplier sourcing and onboarding processes

- Establishing excessive premium freight charges to meet customer delivery expectations
- Inhibiting ability to accurately track and trace purchase orders, shipments, receipts and invoices
- Mismanaging documents and accruing processing errors, leading to slow cycle times
- Having inefficient procurement workflow and processing, causing unproductive supplier relationships
- Creating a supplier relationship dynamic in which buyers spend too much time fighting fires and addressing unexpected supply disruptions

Steps to improve supplier relationships for better quality management

By working together with suppliers, organizations can provide a greater level of service to their customers and other stakeholders, and further improve their quality management process.



Relationship management is one of the key principles of quality management. To ensure a greater level of commitment to quality management within the organization, the following steps can be taken to apply the mutually beneficial supplier relationships principle.

1. Identify suppliers

Identify the suppliers who have an **impact on your quality management system**. This will help identify any suppliers who may need to be replaced.

Suppliers should be selected for the value they add to the organization, as well as their approach to the supply chain.

2. Develop relationships

Develop supplier relationships that foster short-term advantages for both parties and long-term concerns for the organization.

This will ensure a greater level of commitment to quality across both the suppliers' and organization's operations.

3. Communicate

Develop clear and open communications to ensure transparency and accountability between suppliers and the organization.

You must be able to trust that your suppliers will be honest and won't hide any shortcomings that could affect the quality of your products or services.

4. Cooperation

Both the organization and suppliers should cooperate on the development and enhancement of products and processes.

This is mutually beneficial because it ensures the best level of quality for the organization as well as the supplier.

5. Customer needs

Create a clear understanding of **customer needs within the organization** and with suppliers, so everyone is on the same page.

This will help ensure that suppliers fully understand your customers' needs and expectations, so they can deliver the best level of service.

6. Goals and targets

Share information on the organization's forthcoming goals and targets. A good supplier will want to work together to achieve these goals.

All supplier relationships should be symbiotic. Both parties should benefit from the relationship. This makes it in the supplier's best interests to help you reach your goals.

7. Improvements

Recognize when your suppliers make improvements and celebrate their achievements.

This helps maintain a positive relationship. It motivates your suppliers to continue to strive for improved quality.

What is Supplier Selection?

Supplier selection is the process of identifying, evaluating, and choosing the most suitable suppliers that will provide an organization's goods and services. This is done by setting metrics, measures, and criteria to evaluate whether the potential suppliers are reliable, competent, trustworthy, and can meet the organization's goals.

It is a crucial aspect of the procurement process as the performance and reliability of suppliers can significantly affect the organization's overall operations. It ensures that the organization carefully selects its suppliers, resulting in less risk and a streamlined procurement process.

What are Supplier Selection Criteria?

Supplier selection criteria are the measures, metrics, and key characteristics an organization looks for in a potential supplier. It includes important specifications and requirements that suppliers should meet to be a serious candidate.

Supplier Selection Process

1. Define Requirements

The supplier selection process is a crucial step for any organization. It begins with clearly defining the specific requirements for the desired products or services, including quality standards, delivery timelines, and budget constraints. This initial step sets the foundation for a successful evaluation of potential suppliers.

2. Establish Selection Criteria

Once the requirements are defined, specific selection criteria must be established. These criteria typically include factors such as price and cost-effectiveness, the supplier's capabilities to meet current and future demands, their financial stability, the convenience of their location and logistics, their adherence to ethical standards, and a thorough assessment of potential risks associated with them.

3. Supplier Research and Identification

Following this, organizations must conduct thorough research to identify potential suppliers that meet the established criteria. This may involve market analysis, industry reports, and seeking recommendations from other businesses.

4. Request for Proposal (RFP)

To solicit bids from potential suppliers, a Request for Proposal (RFP) is often issued. This document outlines the organization's requirements and invites suppliers to submit proposals detailing how they can meet those needs.

5. Evaluation of Proposals

After receiving proposals, organizations evaluate them based on the established criteria. This evaluation often involves scoring systems or weighted criteria to objectively compare suppliers.

6. Supplier Audits and Visits

To gain further insights, organizations may conduct audits or site visits to assess a supplier's operations, capabilities, and compliance with quality standards. This step helps verify the claims made in their proposals.

7. Negotiation

Once a shortlist of suppliers is identified, negotiations take place to finalize terms, including pricing, delivery schedules, and service levels.

8. Selection Decision

The final decision on the chosen supplier should be based on a comprehensive analysis of all gathered information, ensuring that the selected supplier closely aligns with the organization's goals.

9. Contract Management

Finally, after selecting a supplier, a formal contract should be established outlining all agreed-upon terms. Ongoing performance monitoring is critical to ensure compliance with contract stipulations and maintain a strong and productive supplier relationship.

Supplier Selection Criteria Examples

In setting criteria for supplier selection and evaluation, a procurement manager should consider the factors and key elements an organization looks for.

This will help define the overall supplier selection process and create accurate selection criteria that will meet the specifications and requirements of procurement operations.

Here are the things a procurement manager should consider:

1. Price and Cost

Despite the importance of quality, it is also important for organizations to strike a balance between effectiveness and cost. As this might entail comprising quality or service levels, selecting the most expensive supplier may no longer be a good option.

Instead, businesses should seek suppliers who offer a price that does not compromise on quality and allows them to retain profitability while meeting their customers' needs. A good way to determine if a supplier can deliver at the desired price is to gather information from them and discuss it through the RFX process.

2. Capabilities

The capability of a supplier to meet current and future requirements, maintain its quality, and deliver on time, are important factors in supplier selection and evaluation. Organizations have to assess whether suppliers can meet their demands in terms of volume, quality, and timeframe.

The evaluation of a supplier's scale guarantees their ability to cope with increasing demand as their market size increases. Organizations should request samples of products before purchase to evaluate the quantities.

Aside from these, organizations also need to assess the technological capabilities of suppliers, such as how they deliver cutting-edge solutions, and how they stay on top of industry trends.

This is also a reason to work through the RFX process. Through this process, you can indicate in a scalable manner what your expectations are for the upcoming periods regarding the required capacity, and you have confirmation on paper that the supplier can meet this

3. Services and Financial Stability

Before working with a supplier, consider an assessment of the service provided by a supplier. In addition, the criteria of service may include friendliness, responsiveness, and a comprehensive understanding of an enterprise's needs.

To avoid interruptions in the procurement process, suppliers must be stable. To determine their solvency, and for assessing all financing risks they may present, an analysis of prospective suppliers can be useful. It is more likely that long-term contracts are to be fulfilled and complied with by the financially stable supplier.

There are various ways to determine if a supplier is creditworthy. During my time as a procurement manager, I primarily used the following three methods:

1. Financial analysis based on financial statements, etc.
2. Credit reports from specialized agencies such as CreditSafe or Graydon.
3. Lastly, and perhaps most importantly, by engaging in conversation with the supplier. Ensure you establish a good relationship with your supplier, where you can openly discuss such matters with each other.

4. Convenience

Convenience is important for businesses in need of frequent supplies. You might also evaluate how easy it is for you to order products, how quickly you get supplies, and how willing the supplier is to accommodate your employer's needs.

Logistics, lead times, and shipping costs can be significantly influenced by the geographical location of the supplier. For businesses that rely on "Just In Time Manufacturing" or require swift response to customer demands, the

assessment of proximity is critical. In contrast, to gain economies of scale or access to unique resources, some industries may prefer foreign suppliers. Here it is also important to determine your choice to what extent you can establish a sustainable relationship with this supplier. It may well be that a supplier on the other side of the world can handle the volumes, is financially sound, and is even slightly cheaper than the alternatives that are closer by. Then you can ask yourself whether this minimal saving outweighs the transportation and thus also the environmental impact.

5. Ethical and Social Responsibility

Organizations must align themselves with suppliers, who adhere to ethical practices in an era of increased corporate social responsibility. Ethical policies, working practices, the impact on the environment, and sustainability commitments by suppliers should be examined by organizations.

It is not only about enhancing a brand image but also mitigating the risk of negative publicity and potential legal problems by working with socially responsible suppliers.

Vice-versa, the values and missions of the suppliers should align with the organization and should be valued. A supplier's involvement in society, including their contributions to charitable organizations can also be considered to be part of their responsibilities.

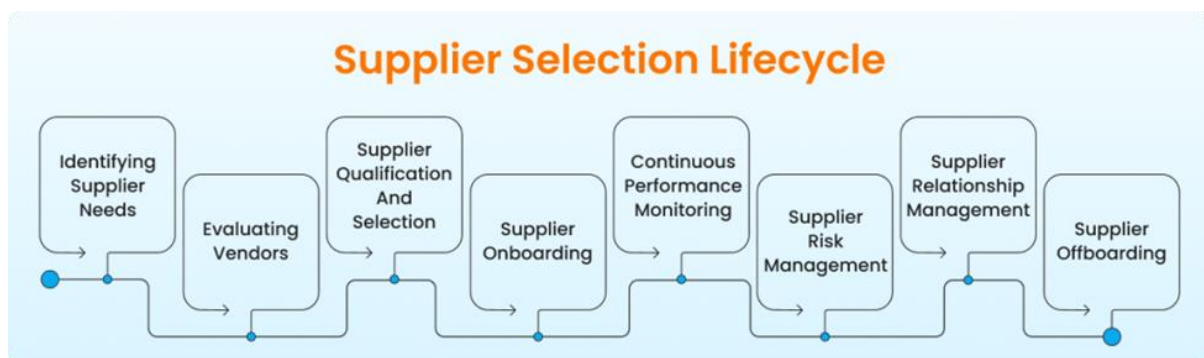
6. Risks

Understanding the risk can help you determine if your supplier is a good one, given that they are often relied upon to supply their customers' products. You might analyze the risk of price increases or supply availability.

Number	Criterion	The importance of criterion
1.	Quality	Very high importance
2.	Delivery	
3.	Performance History	
4.	Warranties & Claims Policies	
5.	Production Facilities and Capacity	Great importance
6.	Price	
7.	Technical Capability	
8.	Financial Position	
9.	Procedural Compliance	
10.	Communication System	
11.	Reputation and Position in Industry	
12.	Desire for Business	
13.	Management and Organization	
14.	Operating Controls	
15.	Repair Service	Medium importance
16.	Attitude	
17.	Impression	
18.	Packaging Ability	
19.	Labor Relations Record	
20.	Geographical Location	
21.	Amount of Past Business	
22.	Training Aids	
23.	Reciprocal Arrangements	Low importance

Number	Criterion	Number	Subcriterion
1.	Financial aspects	1.1.	Economic performance
		1.2.	Financial stability
2.	Organizational culture and strategy issues	2.1.	Trust
		2.2.	Management attitude/outlook for the future
		2.3.	Strategic fit
		2.4.	Top management capability
		2.5.	Capability across levels and functions of buyer and supplier firms
		2.6.	Supplier's organizational structure and personnel
3.	Technology issues	3.1.	Assessment of current manufacturing facilities/capabilities
		3.2.	Assessment of future manufacturing capabilities
		3.3.	Supplier's design capabilities
		3.4.	Supplier's speed in development
4.	Other factors	4.1.	Safety record of the supplier
		4.2.	Business references
		4.3.	Supplier's customer base

Number	Criterion	Number	Subcriterion
1.	Logistics	1.1.	Delivery time
		1.2.	Support lots
		1.3.	Flexibility
		1.4.	Reliability
2.	Technology	2.1.	Capacity to meet demand
		2.2.	Involvement to formulating new products
		2.3.	Improvement effort in their products and processes
		2.4.	Problem solving capability
3.	Business	3.1.	Reputation and position
		3.2.	Financial stability
		3.3.	Management skills and compatibility
4.	Relationship	4.1.	Easy communication
		4.2.	Past experience
		4.3.	Sales representative's competence



Why Supplier Selection Matters or

The Role of Suppliers in Business Success

Suppliers are more than just vendors—they are key partners in your business ecosystem. They affect:

- **Product Quality:** The components or materials they provide determine the quality of your final product.
- **Cost Structure:** Pricing, payment terms, and delivery schedules directly impact your bottom line.
- **Operational Efficiency:** A dependable supplier ensures you can meet deadlines without disruptions.

For instance, imagine running a bakery. The flour, yeast, and other ingredients your suppliers deliver directly affect the taste and texture of

your bread. Partnering with reliable suppliers guarantees a consistently delightful product for your customers.

Setting Supplier Criteria

When assessing potential suppliers, consider these key factors:

1. **Reliability:** Can the supplier consistently deliver on time?
2. **Quality Standards:** Are they certified or compliant with industry regulations?
3. **Cost Competitiveness:** Does their pricing align with your budget without sacrificing quality?
4. **Sustainability Goals:** Are they committed to environmentally friendly practices?
5. **Capacity to Meet Demand:** Can they scale production as your business grows?
6. **Geographical Location:** Are they close enough to reduce transportation costs and lead times?
7. **Financial Stability:** Can they meet long-term commitments without disruptions?

If your business values sustainability, consider working with suppliers who meet recognised certifications or implement eco-friendly practices. This strengthens your sustainable supply chain and aligns with modern consumer values.

Steps to Effective Supplier Selection

Conduct Market Research

Start by identifying potential suppliers using:

- Industry networks
- Online directories
- Trade publications
- Referrals from trusted businesses

Research suppliers' reputations, experience, and capabilities to build a shortlist. Look for companies known for reliability and innovation in their industry.

Request and Evaluate Proposals

Send out Requests for Proposals (RFPs) that include:

- Your specific needs and expectations
- Pricing guidelines
- Quality benchmarks

Compare proposals based on cost, quality, delivery timelines, and alignment with your sustainability goals. This step ensures you're working with suppliers who meet your needs and share your vision for a sustainable supply chain.

Negotiate Terms

Once you've shortlisted suppliers, engage in negotiations to finalise:

- Pricing and payment terms
- Delivery schedules
- Quality control measures
- Environmental commitments

A strong partnership thrives on transparency and collaboration, so aim for agreements that benefit both parties.

Risk Management in Supplier Selection

Identifying Potential Risks

Supplier relationships can be affected by:

- Financial instability

- Quality issues
- Capacity constraints
- Geopolitical factors
- Regulatory changes

Recognising these risks early allows you to develop contingency plans and maintain operational stability.

Implementing Risk Mitigation Strategies

To minimise risks, businesses can:

- Diversify their supplier base to avoid over-reliance on one vendor.
- Conduct regular quality audits to ensure standards are met.
- Implement contingency plans for disruptions, such as alternative suppliers.
- Use technology to monitor supplier performance in real time.

Leveraging Technology for Supplier Selection

Digital Tools for Smarter Decisions

Technology can streamline the supplier selection process and provide valuable insights. Here's how:

- **Supplier Management Software:** Tracks supplier performance, manages contracts, and monitors compliance.
- **Online Sourcing Platforms:** Makes it easier to compare potential suppliers.
- **Data Analytics:** Offers actionable insights into supplier capabilities and risks.
- **Performance Dashboards:** Tracks key metrics to identify areas for improvement.

For example, a **supplier performance dashboard** can help you identify underperforming vendors, ensuring your supply chain operates smoothly.

Building a Sustainable Supply Chain

A **sustainable supply chain** isn't just about reducing costs—it's about making choices that benefit the environment, community, and your business. Here are practical steps to align your supplier selection process with sustainability:

1. **Prioritise Ethical Suppliers:** Choose suppliers committed to reducing their carbon footprint and adhering to fair labour practices.
2. **Assess Environmental Impact:** Evaluate suppliers' efforts to minimise waste, conserve energy, and use renewable resources.
3. **Adopt Green Certifications:** Work with suppliers certified for sustainable practices, such as ISO 14001.
4. **Foster Collaboration:** Partner with suppliers to co-develop innovative solutions that reduce environmental impact.

By integrating these practices, you contribute to a greener future while meeting customer expectations for sustainability.

Why Is Supplier Selection Important?

Now that we've covered what the supplier selection process looks like, let's talk about why it matters so much. Picking the right supplier does more than save money—it keeps your operations smooth, protects your bottom line, and helps you serve your customers better:

Here's why this process matters:

1. Operational reliability

A dependable supplier consistently delivers materials and components on schedule and at the agreed-upon quality. This reliability prevents production stoppages and avoids emergency shipping or overtime costs. When your P2P team can count on on-time delivery, you maintain smoother operations, reduce DPO spikes caused by rush payments, and strengthen trust with internal stakeholders and end customers.

2. Financial accuracy

Suppliers who adhere to invoicing standards—matching purchase orders,

quantities, and prices—help your AP team process payments without hold-ups. Clean, accurate invoices mean fewer exceptions in your system, faster approvals, and lower labor costs in resolving disputes. Over time, this efficiency directly translates into more predictable cash flow and improved working-capital management.

3. Risk mitigation

Global procurement exposes you to risks like currency fluctuations, shifting regulations, and geopolitical instability. A structured supplier selection process evaluates these factors up front, checking financial health, compliance history, and country-specific considerations. By catching potential issues early, you protect your organization from sudden supply interruptions, unexpected fines, or costly contract terminations.

4. Strategic alignment

When you choose suppliers whose long-term goals mirror your own—whether that's seamless integration with your AP automation platform, commitment to sustainability, or plans for scalable growth—you create true partnerships. These vendors collaborate on process improvements, co-develop custom solutions, and adapt alongside your evolving business needs, driving shared innovation and competitive advantage.

5. Cost efficiency

Focusing solely on the lowest bid often leads to hidden expenses: product defects, returns, and extra quality checks. By selecting suppliers based on total cost of ownership—including defect rates, warranty claims, and service fees—you minimize rework and warranty costs. High-performing vendors deliver better quality upfront, which lowers your overall spending and keeps your cash reserves intact.

Who Uses the Supplier Selection Process?

Supplier selection is a cross-functional process, typically led by procurement but involving finance, legal, operations, and IT to ensure well-rounded decisions aligned with organizational goals.

Here's a look at who's involved—and what they focus on:

1. Procurement teams

Procurement drives the entire selection process—from identifying supplier needs and issuing RFPs (Requests for Proposal) to evaluating bids and negotiating contracts. Their main goal is to find suppliers that deliver the right balance of cost, quality, and reliability. They also ensure the supplier's capabilities align with the company's strategic sourcing goals and long-term requirements.

2. Finance & accounts payable teams

Finance and AP teams evaluate potential suppliers based on financial stability, invoicing accuracy, and payment terms. They look for suppliers who are easy to work with when it comes to payment processing, especially those who can support automated workflows. Their input helps ensure that onboarding a new vendor won't disrupt cash flow or introduce avoidable reconciliation issues.

3. Compliance & legal teams

These teams focus on regulatory alignment and contract protection. They check whether suppliers follow local and international laws, carry the required certifications, and pose any legal or compliance risks. During contract reviews, they pay special attention to risk clauses, data privacy terms, and penalties for non-compliance.

4. Operations & logistics

Operations teams assess how reliably a supplier can deliver what's needed, when it's needed. They focus on logistics capabilities, supply chain stability, order lead times, and the supplier's ability to scale when demand increases. Their goal is to avoid delivery bottlenecks or inventory shortfalls that can slow

down production or customer fulfillment.

5. IT & digital transformation teams

IT teams evaluate a supplier's ability to integrate with existing systems, such as ERP platforms, procurement tools, or [accounts payable automation solutions](#).

They also assess cybersecurity practices, digital maturity, and whether the supplier can support long-term digital goals like e-invoicing or supplier portals. This ensures the supplier doesn't create technical friction in P2P operations.

Key steps that make supplier selection both structured and successful.

A clear, step-by-step process ensures that every stakeholder, from procurement to finance, is aligned and working toward selecting the most suitable supplier.

Step 1: Define your business requirements

Start with clarity. What are you buying? What volume do you need? How often? What's the budget, and what standards must be met? Defining these up front sets the stage for objective comparison.

This includes:

- Product or service specifications
- Quantity and delivery timelines
- Budget range
- Required certifications or standards (e.g., ISO, ESG)
- Integration needs (especially with accounts payable systems)
- Well-defined requirements help ensure that only relevant suppliers are considered, reducing time spent on misaligned proposals.

Step 2: Identify and shortlist potential suppliers

Gather potential vendors through a mix of sources—supplier databases,

online directories, referrals, or supplier management platforms. Then, screen them based on:

- Reputation and past performance
 - Industry experience
 - Geographic location and logistics reach
 - Compatibility with your operational model
- Use a [supplier management tool](#) to maintain and compare vendor records, risk scores, and previous interactions.

Step 3: Issue RFIs, RFQs, or RFPs

Once you've identified potential suppliers, you'll need to collect information to make an informed decision:

- RFI (Request for Information) – When you're exploring capabilities and want a broad overview of what's available
- RFQ (Request for Quotation) – When you have detailed requirements and need exact pricing and delivery timelines
- RFP (Request for Proposal) – When you're comparing technical solutions, service levels, and added value

This step helps filter suppliers who are not only qualified but also proactive and responsive.

Step 4: Evaluate suppliers against set criteria

Use a supplier selection matrix to assess vendors against your defined criteria. Weight categories like cost, compliance, scalability, and support are based on business priorities. Look at:

- Total cost of ownership—not just the unit price

- Delivery performance and guarantees
- Technological compatibility (e.g., EDI, portal access)
- Financial stability
- Regulatory and ESG alignment

Structured scoring ensures that decisions aren't influenced by personal bias or price alone.

Step 5: Perform pilot runs or site visits

After understanding the various criteria for vendor evaluation, we consider testing their capabilities before signing long-term contracts. How you can do this include the following:

- Place a small order to assess service reliability
- Conduct a site visit to evaluate capacity, safety, and workflow maturity
- Interview current customers for reference checks
- This real-world validation helps confirm whether the supplier meets your performance expectations.

Step 6: Negotiate contract terms

Once you've chosen a supplier, move to contract negotiation. It is important to negotiate a contract well to ensure wins for both parties. Beyond pricing, make sure to lock in:

- Service-level agreements (SLAs)
- Payment terms and discounts
- Return and refund policies
- Penalties for non-performance

- Renewal and termination conditions
- Engage your legal and finance teams here to minimize risk and ensure the contract supports your long-term goals.

Step 7: Onboard the supplier

The final step is activating the supplier in your internal systems. An [automated supplier onboarding solution](#) can accelerate this process by collecting:

- Tax and banking details
- Compliance documents
- Digital invoicing preferences
- Contact information for AP and operations

A smooth onboarding process sets the tone for a successful, long-term partnership—and helps avoid errors in payments and compliance later.

What is a customer complaint

A customer complaint is an expression of dissatisfaction about your business regarding your staff, products or services that requires a response or resolution.

A customer may leave a complaint if their expectations of your products or services haven't been met. These expectations come from their interactions with your business and experiences with other businesses, products or services.

Complaints are typically based on:

- poor service or product quality
- special requests not fulfilled
- dissatisfaction with products or facilities
- unhygienic conditions

- low comfort levels
- the behaviour of other customers
- errors with bills, reservations or orders
- unfair treatment.

The Complaint Management Lifecycle

1. Intake

Ensure that your institution's definition of a complaint matches the one your examiner uses. The Consumer Financial Protection Bureau (CFPB) [defines consumer complaints](#) as “submissions that express dissatisfaction with, or communicate suspicion of wrongful conduct by, an identifiable entity related to a consumer's personal experience with a financial product or service.”

You don't want a definition that is narrower than that because you could inadvertently exclude true complaints from your intake system. There should be no expectation that customers or members understand what regulation got violated, or that any regulation got violated, to qualify a conversation as a complaint.

Also ensure that intake processes exist for the various avenues by which your institution can receive a complaint. Complaints can be verbal or from an email, “contact us” form, social media posting, or other written format. They can arrive from a customer, a regulatory body, the Better Business Bureau (or equivalent), or a third party.

Provide sufficient training for all customer-facing staff on the definition of a complaint, the complaint capture system, and the required information for the intake process. For verbal complaints, ensure that customer service representatives know to capture the full complaint, including any trigger words. This isn't the place to sanitize the customer's words, as that could mask fair lending issues and/or UDAAPs.

2. Logging

Complaint logging typically involves an online system to capture the elements of the complaint. At a minimum, complaint system data input should include the following:

- Customer name
- Account number
- Type of product
- Line of business
- Short description of complaint
- Text of the complaint
- Complaint type or intake method
- Whether the complaint arrived via an examiner or third-party
- Fields and/or checkboxes to indicate pertinent regulations
- Trigger language, if applicable
- Research performed
- Resolution
- Whether an error was made by the institution
- Root cause
- Restitution provided to customer, if applicable
- Number of customer communications about the complaint (This is a measure of the efficiency and effectiveness of the complaint program.)
- Date fields: date received, date opened, date of acknowledgment to customer, date of response, date of closure

Aside from these data points, include any fields that management wishes to report on.

3. Complaint Research and Resolution

Elements of this phase include a well-defined escalation system. For example, a three-level categorization might range from routine complaints at level 1 up to complaints received from a regulator or requiring immediate attention at level 3.

Research should be performed by well-trained staff — perhaps a team — that includes compliance staff. Institutions that don't put enough effort into the research and resolution

phase often have repeat complaints and/or a higher level of complaints arriving from regulators because customers get frustrated with the institution and seek regulators' help.

4. Quality Control

A good complaint management program involves quality control over the resolution of the complaint and communication with customers. Part of the process should include an accuracy review before any communication goes out to consumers.

5. Post-Complaint Actions

Examiners will likely criticize a program that doesn't include procedures after the complaint response. Critical elements in the post-complaint phase involve:

- Conducting a full root cause analysis
- Determining impact to other customers
- Updating appropriate processes and procedures

Most importantly, the post-complaint process should involve training to close the feedback loop for staff in the areas where the complaints happened to prevent future issues. Training can leverage the complaint text, research findings, and root cause analysis.

6. Reporting

A comprehensive complaint management program includes reporting to executive management, appropriate compliance and risk committees, and the board of directors on complaint levels, complaint trends, customer harm, restitution, and other important information that stakeholder groups require.

Value of complaints

Handling complaints effectively will benefit your business, reputation and overall operations.

Complaints can highlight weaknesses in your training programs, policies, work instructions and service delivery, and give you the opportunity to improve your operations.

Good complaint handling:

- reassures customers that you are committed to resolving problems and improving relationships
- maintains and builds loyalty
- improves your accountability and transparency
- evaluates and improves programs and services
- informs decision making about future service delivery.

How to avoid customer complaints

Customer complaints can often be prevented.

- Provide your staff with:
 - regular product and service training
 - communication and customer service training specific to what you expect in your business
 - clear policies, procedures, work instructions and complaint-handling processes.
- Understand your customers' rights and responsibilities, including [guarantees, warranties and refunds](#).
- Decide what incentives or strategies (e.g. discounts, refunds, price-matching guarantees) will be part of your customer complaint process and which staff are authorised to offer them.

Handy tips for handling complaints on the spot

Use the L.E.A.R.N. model when dealing with a complaint.

L — **Listen** to your customer. Let them feel heard. Don't interrupt them.

E — **Empathise** with your customer. Put yourself in their shoes. How would you feel?

A — **Ask** them what outcome they would like.

R — **Reassure** them that you will take steps to help resolve the issue.

N — **Never** forget to follow up with your customer about the outcome and thank them.

Effective complaint handling

Use these 6 steps as a guide for handling complaints. Expand and explain each step in detail for staff training and include it in your complaints handling policy to set your expectations.

1. Appoint 1 staff member to manage the complaint promptly.
2. Authorise the appointed staff member to offer and organise solutions (within agreed limits) that the customer will accept—for example, a discount, refund, replacement or free service.
3. Focus on a solution—the customer wants to feel involved and reassured you have heard their complaint and value their input and patronage.
4. Have the customer approve the solution offered and check they are satisfied with how it's being handled.
5. Make sure to act as quickly as possible.
6. Let the customer know what you will do to prevent the problem happening again.

Common complaints and solutions

There are common complaints that customers make relating to products and services. Anticipating these common complaints and having procedures in place will help you resolve them quickly, efficiently and with minimal costs.

Make sure your solutions satisfy your customers and are feasible and affordable for your business. Remember that the cost of a short-term concession is often worth it to preserve a long-term customer relationship.

Solutions to common complaints

Faulty Products:

- Investigate the fault with the manufacturer.
- Offer a replacement item or replacement model.
- Repair the product if it is under warranty.
- Consider replacing the product even if it is no longer under warranty—to preserve the relationship with your customer.
- [Train staff](#) to explain [warranty conditions](#) at the time of sale and repair.

[Incorrect product descriptions](#)

- Train staff about the features and benefits of the products they are selling.
- Ensure product descriptions and advertised prices are accurate.
- Investigate the product with the manufacturer.
- Make sure staff explain warranty conditions.

Poor customer service or rude staff

- Investigate the areas of issue.
- Train staff in [customer service and communication skills](#).
- Rotate staff so they can increase their knowledge of other areas of your business, or to find areas that best suit their skills and strengths.
- Encourage and support teamwork.
- Develop and use disciplinary procedures such as including performance management.
- Review [recruitment and selection procedures](#).

Slow Delivery

- Investigate lead times.
- Reprioritise delivery schedules.
- Train staff to provide more accurate delivery timeframes to clients.

Poor response to request for information

- Retrain staff in how to respond to client requests.
- Set procedures on how to respond, including timeframes for responses.
- Provide more take-home information to customers.

Lack of communication

- Train staff in [communication](#), including body language and facial expressions.
- Have a shared log or database for current issues that other staff or shifts need to be aware of (e.g. a hand-over book for shift changes).
- Encourage teamwork, collaboration and support.

Promises not carried out

- Train staff in good [customer service](#) and managing customer expectations.
- Document promises made to clients and the processes in place to ensure you deliver.
- Encourage teamwork, collaboration and support.

Uninformed staff

- Make sure staff [know your products and services](#) including features and benefits.
- Make more product literature available for reference.
- Encourage teamwork and support.

Customer needs not accurately determined by staff

- Train staff in [sales skills](#).

Repeated complaints from the same customer(s)

- Examine the nature of the complaints.
- Try to determine the reason for the frequency of complaints.
- Discuss the recurring pattern with your staff and potential solutions that focus on the nature and frequency. Consider that the complaints may be the expression of unrelated customer frustration.

Training for complaint management

Training your agents to become masters at complaint management can be an easy task to do. With the right training programs and tools, you can leverage the power of AI video training to create an ideal customer-facing team and turn your customers into loyal brand advocates.

Some of the most important skills to develop when it comes to training for complaint management are the following:

- Humility.
- Knowledge of the company's products and services.
- Creativity to come up with optimal solutions.
- Communication skills.
- Empathy and compassion.

- Listening skills.
- Decisiveness to help in making the right decisions to solve complaints quickly.

Retorio's behavioral intelligence platform will help to ensure that your organization never falls victim to poor customer service. Our training platform allows you to:

- Build customized libraries of personalized, high-impact training content.
- Create an immersive learning environment that caters to all individual needs.
- Allow employees to learn at their own pace and in a psychologically safe space.
- Get valuable insights into the behavior of successful customer service teams and gain the best practices.

Customer retention?

Customer retention refers to an organization's ability to keep customers buying their products and from switching to other providers.

What is a customer retention strategy?

Customer retention requires a series of initiatives and processes designed to build trust and enhance customer loyalty. It helps structure the fulfillment of brand promises through the consistent delivery of value.

Excellent Customer Retention Strategies

1. Adopt customer service tools.
2. Apologize when you make mistakes.
3. Inspire with a mission.
4. Empower customers with convenience.
5. Leverage personalization.
6. Speak to your customers.
7. Create a divide between you and your competitors.
8. Use subscriptions to bolster the experience.
9. Use experiences to elicit positive feelings.
10. Capitalize on social proof.

11. Educate your customers.
12. Surprise and delight.
13. Offer support on the right platforms.
14. Thank your customers.
15. Provide incentives before a customer can terminate their membership.
16. Build trust with your customers.
17. Form a community around your product or service.
18. Become part of the customer's lifestyle.
19. Establish loyalty with a one-of-a-kind product.
20. Offer a product or service that solves a problem, but not every problem.
21. Keep things interesting.
22. Use gamification and referral programs.

Key customer retention metrics to measure

Customer retention refers to the ability of a company or product to retain its [customers](#) over some specified period.^[1] High customer retention means customers of the product or business tend to return to, continue to buy or in some other way not defect to another product or business, or to non-use entirely. A

company's ability to [attract](#) and retain new customers is related not only to its [product](#) or services, but also to the way it services its existing customers, the value the customers actually perceive as a result of utilizing the solutions, and the reputation it creates within and across the [marketplace](#).

8 strategies to retain customers

Improving customer service retention means [improving the customer experience](#). Here are eight strategies you can use to create a winning CX and keep your customers coming back.

1. Offer omnichannel support to reach customers where they are

Omnichannel support—and, by extension, [omnichannel customer service](#)—is an excellent tool for customer retention. It allows agents to access contextual information about clients across various platforms to curate highly personalized experiences.

Aside from the ability to execute [conversational sales](#) and support strategies, it also creates a better CX for clientele. When businesses offer omnichannel support, customers can chat with a person on the platform of their choice and receive faster resolutions.

2. Respond to customer support queries quickly

Quick first replies can result in higher [customer satisfaction](#). Even if you can't solve the ticket immediately, it still pays to respond to the customer ASAP.

A quick reply can be a short message letting the customer know you received their question. Or, better yet, provide an estimate for how long it will take to solve their problem. Customers are more willing to wait if they know you're actively working towards a solution; setting time frame expectations upfront helps.

3. Personalize support interactions

Customers feel frustrated when they have to explain an issue over and over; and exhausting, repetitive interactions make customers more likely to leave.

Equip agents with customer service software that has the capabilities they need to easily pull customer information, view the conversation history, and streamline conversations. The Zendesk Agent Workspace, for example, offers agents customer context in order for them to deliver a personalized experience.

4. Incentivize loyalty

Increase customer retention by rewarding customers who are loyal to your company. By showing customers you appreciate their business, you give them another reason to stick around.

To buy your business some customer goodwill, consider offering:

- Loyalty programs
- Discount codes
- Special offers
- VIP events
- Early-access benefits

There are several types of loyalty programs, from points-based systems to tiered rewards. These incentives help collect detailed customer data which allows your business to offer more personalized experiences and messaging.

5. Offer a referral program

Referral programs serve the dual purpose of boosting customer retention and aiding acquisition efforts. This word-of-mouth marketing strategy is effective because it brings in new prospects who already have faith in your business based on the recommendations of someone they trust.

It also fosters goodwill with existing customers who receive additional benefits for shopping with you and advocating for your brand. Some popular incentives include:

- Cash
- Free merch or products

- Store credit

Offering these incentives will benefit your company because it encourages customers to keep coming back, and the social proof loyal customers provide will also give your business a competitive edge.

6. Create a positive experience for employees

Happy employees are generally more inclined to provide top-of-the-line support and form long-lasting relationships with clientele that improve customer retention. Incentivizing staff to create connections can go a long way in building trust, making it easier to keep customers loyal to you, even if issues arise.

Creating a positive work environment also helps reduce turnover rates and improve the employee experience. This is great for businesses because the longer your staff sticks around, the more knowledgeable and tuned in to customer issues they'll be.

7. Gather customer feedback often

Customer feedback is one of the most valuable tools to increase customer retention and reduce churn rates. If you want to know what is and isn't working for your customers, it helps to hear it straight from the horse's mouth.

Give customers a voice by conducting surveys. Customer satisfaction surveys can be as simple as asking for a "thumbs up or thumbs down" after resolving a ticket, but it's especially useful to ask more specific questions, such as:

- How would you describe your experience with our product?
- What isn't working for you and why?
- Which of the following channels do you prefer using for customer support?

Additionally, supplement your surveys with feedback from customer service team members. They're closest to customers and can identify common complaints and general preferences.

8. Build a strong customer community

Create an online community for loyal customers to interact with each other and share their experiences. This can serve as an educational forum for customers to learn more about your products and gives you a direct line to their thoughts and problems. Interacting with customers in online spaces like these allows you to address concerns early and keep buyers engaged long-term.

The 15 key customer retention metrics

The right metrics provide a clear view of customer loyalty, satisfaction, and long-term value—here are the top ones to know about.

1. Customer retention rate (CRR)

[Customer retention rate](#) measures the percentage of customers a business continues to serve over a set period of time. A high number reflects strong loyalty, satisfaction, and consistent value delivery, making it a core indicator of long-term business health. As a quick reference, here's how to calculate customer retention rate:

$$\text{CRR} = ((\text{Customers at end} - \text{New customers acquired}) \div \text{Customers at start}) \times 100$$

How to improve this KPI: To increase customer retention rate, personalize communication and ensure it's tailored to specific interests (e.g., use segmented email lists). Also, ensure your client's customer success team consistently follows up after an initial purchase or relevant action. That way, customers feel supported beyond the sale, and long-term loyalty becomes easier to sustain.

2. Purchase frequency (PF)

Purchase frequency goes a step further and looks at how often a customer makes a purchase within a given time period. A higher purchase frequency typically indicates higher satisfaction and loyalty.

$$\text{PF} = \text{Total number of purchases} \div \text{Number of unique customers}$$

How to improve this KPI: Use targeted promotions, email or SMS reminders, and loyalty programs to encourage repeat purchases.

3. Customer churn rate

Customer churn rate is the other side of the CRR coin—it measures the percentage of customers who stop doing business with your client during a given period. A high churn rate signals problems with product quality, service delivery, or the customer experience.

Customer churn rate = (Customers lost during period ÷ Customers at start) × 100

How to improve this KPI: Collect exit feedback, resolve pain points quickly, and implement proactive retention strategies. Smaller companies can often manage this through one-on-one outreach, while larger businesses should rely on surveys or automated feedback loops to capture insights at scale.

We schedule regular touchpoints with current customers to ensure that we're meeting expectations, and we identify other ways to support business growth. As stewards of their marketing budgets, we prioritize communication, attentiveness, and results to maintain a healthy partnership.

4. Customer Lifetime Value (CLV)

CLV reflects the total revenue a client can reasonably expect from a single account. It considers the customer's revenue value and compares it to the company's predicted average customer lifespan. This metric is typically used to identify the most valuable and lucrative customer segments. It's calculated using the formula below:

CLV = Average purchase value × Purchase frequency × Average customer lifespan

How to improve this KPI: Focus on upselling, cross-selling, and delivering consistent long-term value so customers increase spending over time.

5. Average repeat order value (AROV)

This metric tracks the average dollar amount spent each time an existing customer places a new order. It provides a better understanding of how much revenue repeat customers generate per transaction.

AROV = Total revenue from repeat customers ÷ Number of repeat orders

How to improve this KPI: Bundle products, recommend upgrades at checkout, and personalize offers to increase the average spend per repeat purchase.

6. Average revenue per user (ARPU)

[ARPU](#) measures how much revenue each customer generates over a specific period. Unlike [average order value \(AOV\)](#), which looks at individual purchases, ARPU reflects the total spending of an average customer across all transactions. This provides a clearer picture of overall customer value.

ARPU = Total revenue ÷ Total number of customers

How to improve this KPI: Introduce tiered pricing, premium service options, or value-added features that encourage customers to increase their overall spend.

7. Customer satisfaction score (CSAT)

[CSAT](#) gauges how satisfied customers are with a product or service. Short surveys typically ask customers to rate their experience on a scale of 1 to 5, offering direct feedback on performance.

CSAT = (Number of positive survey responses ÷ Total survey responses) × 100

How to improve this KPI: Act quickly on customer feedback, improve support responsiveness, and consistently exceed expectations in service or product delivery.

8. Net promoter score (NPS)

Similar to a CSAT score, [NPS](#) measures customer loyalty by asking one straightforward question: "On a scale of 0-10, how likely are you to recommend our company to a friend or colleague?" The responses help businesses [identify promoters](#) (score 9-10), [passives](#) (score 7-8), and [detractors](#) (score 0-6). Here's how to calculate net promoter score:

NPS = % of Promoters – % of Detractors

How to improve this KPI: Engage detractors to resolve frustrations, nurture passives with added value, and turn promoters into advocates through exclusive perks.

Help clients maintain a healthy loyal customer rate. Measure customer retention insights, monitor feedback received, and visualize NPS data—[try AgencyAnalytics, free for 14 days](#).

9. Repeat purchase rate (RPR)

Repeat purchase rate measures the percentage of customers who return to buy again within a defined period. A higher RPR reflects strong loyalty and effective customer experience strategies.

$$\text{RPR} = (\text{Number of customers with more than one purchase} \div \text{Total customers}) \times 100$$

How to improve this KPI: Strengthen retention campaigns with loyalty rewards, personalized offers, and re-engagement emails.

10. Time between purchases

The time between purchases calculates the average number of days between one transaction and the next. Shorter cycles indicate stronger engagement and customer satisfaction. On the other hand, longer gaps reflect declining interest or missed re-engagement opportunities.

How to improve this KPI: Use well-timed remarketing campaigns, nurture sequences, and seasonal promotions to keep customers interested.

Customer retention KPIs for marketing agencies

Supporting client growth is only half the equation—your agency also needs to measure the strength of its own relationships.

The KPIs below show how effectively you're building loyalty and long-term partnerships.

11. Average client lifespan

This metric measures how long clients typically stay with your agency. A longer lifespan reflects stronger loyalty and consistent satisfaction with your services.

Average client lifespan = Total months (or years) all clients stayed ÷ Number of clients

How to improve this KPI: Provide proactive strategy reviews, regular performance updates, and personalized account management. It's also a good idea to reward loyal clients and show your appreciation.

Our most successful customer retention strategy has always been to remain on the hunt for ways to provide additional value. If we've signed a client for a year-long SEO strategy, we aim to go above and beyond at that year mark, perhaps with a free long-form piece of content, a personal introduction to those in related industries, a media buy on the house, or a recommendation to try a few new channels that weren't used in the past. Our goal is to become absolutely invaluable to the client.

12. Client communication response time

This metric tracks how quickly your agency replies to client messages or inquiries. Faster responses typically build stronger relationships and higher levels of trust. Measuring this number is tricky (since your team often has other priorities). However, even a rough benchmark helps identify whether clients are waiting too long and where workflows could be improved.

Client communication response time = Total response time to client messages ÷ Number of client messages

How to improve this KPI: Set clear response-time expectations, use automation for quick acknowledgments, and assign account managers to each client account.

13. Marketing report open rate

This metric shows the percentage of clients who open and engage with the reports your agency sends. Higher open rates suggest that clients value your insights and remain invested in your work.

Marketing report open rate = (Number of reports opened ÷ Total reports sent) × 100

How to improve this KPI: Simplify reports with visuals, highlight the most important metrics upfront, and add a touch of personalization. For faster results, use a tool with a [built-in AI feature](#) to generate a quick executive summary and actionable takeaways.

14. Project completion rate

Project completion rate evaluates the number of projects delivered on time and within budget. A consistently high rate reflects operational efficiency and accountability to clients.

Project completion rate = (Projects completed on time ÷ Total projects) × 100

How to improve this KPI: [Strengthen project management processes](#), set realistic deadlines, and use clear communication to manage expectations.

15. Cross-selling and upselling rates

This metric shows how effectively your agency expands existing accounts by offering complementary or higher-tier services. Strong rates indicate satisfied clients who trust your expertise and see your agency as a long-term growth partner.

Cross-selling/ Upselling rate = (Number of clients who purchased additional services ÷ Total clients) × 100

How to improve this KPI: Recommend add-ons that solve real challenges, positioning those upgrades as natural steps toward growth. That said, it's important to always act in the best interest of the client.

Pitfalls to avoid when measuring client retention KPIs

Measuring client retention KPIs offers valuable insights, but it's easy to fall into traps that distort data or lead to inaccurate conclusions. Here are some common mishaps to avoid.

Mistake #1: Ignoring client feedback

It's easy to let numbers dominate the conversation, but relying solely on KPIs may lead to missing what a client is actually saying or experiencing. For example, a [PPC dashboard](#) might highlight strong ad performance. However, the client may be noticing an influx of unqualified

leads. Without acting on that context, you'll end up optimizing for the wrong outcomes, or worse... damaging the client's trust in your agency.

A better approach is pairing hard data with regular check-ins. When clients raise concerns, adjust their strategy or refine KPIs as needed. Maintaining an open feedback loop improves outcomes and shows that you're actively listening.

Mistake #2: Relying on a single data point

While certain retention KPIs may seem important on their own, relying *too* heavily on one metric creates a distorted picture. For example, a high customer retention rate might look impressive. However, if it's paired with a low customer lifetime value, it suggests customers aren't spending enough to drive real growth.

Instead, explain the relationship between retention metrics and why they matter. That may look like connecting purchase frequency with AOV to show revenue impact. It may also mean comparing a monthly customer churn rate with NPS to understand what's driving customer exits. By adopting this approach, you'll give clients a more accurate picture of performance and how retention efforts translate into real results.

Mistake #3: Overcomplicating KPIs

It's tempting to track every retention metric available, but measuring too many at once could overwhelm your client.

A more effective approach is to focus on a few KPIs that directly reflect long-term retention (like the ones we've identified). That way, you'll share meaningful insights that connect to customer behavior, not irrelevant or *vanity metrics*.

Focus on the "So what?" factor. Make every data point meaningful by explaining its impact on the client's goals. Clients don't just want numbers; they want to know how those numbers affect their success. Show them the value, and your reports will be both powerful and engaging!

Michelle van Blerck, Communications Manager, [Digital Freak](#)

Mistake #4: Neglecting industry standards

It's important to understand how client performance compares to others in their industry. Without that context, retention KPIs could appear strong in isolation but fall short of what competitors are achieving.

Providing this valuable macro context also shows clients whether they're ahead of the curve, keeping pace, or at risk of falling behind. It also helps your agency to highlight opportunities for improvement and set realistic goals.

Customer retention best practices

While every organization needs a customer retention strategy customized to their needs, there are some common best practices they should keep in mind.

- **Accelerate time to value:** Assess customers' needs throughout the onboarding process to sharpen resolutions. Synchronize their requirements with product and service features so customers can make swift purchasing decisions and quickly allocate resources.
- **Align with customer needs:** Use a roadmap to synchronize products and services with customer needs. Include customer research to gain insights and guide efforts toward providing customer satisfaction, which builds brand trust.
- **Drive product adoption and expansion:** A positive product experience (PX) helps drive a successful CX. Adoption and expansion are the fruit of resolving customer needs, challenges or pain points. This increases brand trust and sentiment as well as customer loyalty.
- **Embrace value-based selling:** This is a consultative approach that prioritizes customer value during the purchasing process. It prioritizes needs and enables customers to make well-informed purchasing decisions. This establishes a positive initial experience, which can establish brand loyalty and increase brand sentiment.
- **Manage customer engagement:** Use a high-touch engagement model to optimize live interactions and build customer rapport. This creates high-level engagement that drives customer success, which builds brand sentiment and trust.

Customer retention benefits

Customer retention helps facilitate the growth and stabilization of your customer base and company revenue. By consistently delivering value, companies fulfill their brand promises, which elevate credibility, trust and brand sentiment, appealing to the average customer.

Here are the four major benefits of customer retention:

1. **Customer loyalty:** Current customers already trust your brand, so it is easier to make them repeat customers.
2. **Brand ambassadorship:** Loyal customers act as brand ambassadors, which can help increase customer acquisition via word-of-mouth marketing (e.g. testimonials and referrals).
3. **Cost savings:** Repeat customers trust the brand, so there is no need for an extensive retention marketing strategy or advertising spend (versus new customers that require extensive spend to create brand sentiment and trust).
4. **Improved profitability:** Satisfying new and repeat customers sustains loyalty and increases the bottom line. In fact, happy customers are prone to make repeat purchases over a longer period of time. [According to McKinsey](#), “80 percent of the value creation achieved by successful growth companies comes from their core business—namely, generating new revenue from existing customers.”